

Common Frauds Risk – AP & Treasury at ABC Ltd.

Common schemes amplified by your geography and operations:

1. **Duplicate payments** — Same invoice paid twice (intentional via slight alterations or accidental then exploited).
2. **Fake/fictitious invoices** — Shell companies submit bills for non-delivered milk powder, sugar, spares, or services.
3. **Unauthorized payments** — Rogue approvals for fake emergencies, advances to colluding transporters, or personal expenses.
4. **Vendor impersonation / Bank change fraud (BEC)** — Fraudsters spoof supplier emails requesting new bank details; payments diverted.
5. **Shell companies / Ghost vendors** — Employee/relative sets up fake entity; invoices for "consultancy" or "transport" paid out.
6. **Kickbacks & collusion** — AP staff favors suppliers for bribes; inflated prices or fake deliveries accepted.
7. **Check tampering / Forgery** — Alter payee/amount on cheques; forge signatures (less common now but still in rural depots).
8. **Petty cash abuse** — Inflate vouchers, fake receipts for fuel/spares at chilling stations/depots.
9. **Payroll ghost employees** — Fake staff added (especially at remote sites); salaries diverted.
10. **Treasury-specific** — Unauthorized bank transfers between accounts, fake forex deals (if importing flavors), cash withdrawal skimming, unmonitored mobile money payments (M-Pesa common in Kenya).
11. **Invoice laundering** — Legitimate invoices inflated; difference kicked back.
12. **Pass-through schemes** — Fake vendor buys from real supplier; markup pocketed.
13. **Expense reimbursement fraud** — Fake travel/allowance claims by depot managers.
14. **Multi-location risks** — Local Nakuru/depot finance staff process payments without Nairobi visibility; override approvals.
15. **Cyber-enabled** — Phishing for credentials leading to unauthorized EFTs; SIM-swap for mobile banking approvals.

These cost companies millions annually; in dairy/beverage, high-volume, perishable procurement makes detection hard.

Detailed SOPs for Accounts Payable & Treasury – CFO Absolute Control

CFO (Nairobi) holds final authority: all payments >KES 100,000 require CFO approval; vendor master, bank accounts centralized in Nairobi. Full ERP/AP automation (e.g., integrated with procurement/inventory) mandatory within 6 months; interim: locked digital workflows + scanned docs. Zero tolerance: fraud = dismissal, prosecution, full recovery + blacklisting.

1. Vendor Master & Onboarding Controls

- Vendor master **maintained exclusively by Nairobi Finance** (not AP/procurement/depots); no local additions.
- New vendor registration: Submit KRA PIN, CR12/CR13 (company docs), bank letter confirming account (not email), physical address proof, references from 2 dairy firms.
- Mandatory site visit for high-value vendors (milk suppliers, transporters) by Finance + Quality team; photos/GPS uploaded.
- **Anti-fraud:** Annual vendor audit (10% random + high-risk); flag dormant/inactive vendors (>6 months no activity); system locks new vendors until CFO + Legal approval.
- Related-party check: All staff declare relatives annually; auto-flag matches.

2. Invoice Receipt & Processing (AP Core)

- Invoices received centrally (Nairobi scan/email) or at depots but uploaded immediately to ERP; no local holding.
- **Strict 3-way match** (PO + GRN + Invoice) by AP clerk; tolerances: quantity $\pm 2\%$, price $\pm 3\%$; auto-flag deviations.
- Discrepancies: Hold payment; notify vendor + requester; CFO resolves.
- Invoice approval workflow: Multi-level (Requester → Dept Head → Finance → CFO for >KES 100,000).
- No manual invoices; system-generated only for exceptions (CFO approval).
- **Duplicate detection:** ERP auto-checks invoice number, amount, vendor, date; flag matches.
- **Anti-fraud:** OCR + AI matching if possible; monthly duplicate payment scan across all entities.

3. Payment Execution & Treasury Controls

- **Payments only via bank transfer/EFT/RTGS**; no cash >KES 10,000 (even depots—use M-Pesa with audit trail if unavoidable).
- **Dual/triple signatory**: CFO + one senior (CEO/Finance Mgr); >KES 500,000 requires Owner email confirmation.
- Cheque issuance (if any): Pre-printed, locked safe (Nairobi); dual sign; voided cheques destroyed under witness.
- Bank account management: All company accounts (head office, plant, depots) listed in central treasury dashboard; no unauthorized openings.
- **Vendor bank details locked** after verification (initial small test transfer + bank letter); changes require CFO + dual verification (call vendor directly + written confirmation).
- **BEC prevention**: Verify bank change requests via **out-of-band** (phone call to known number, not email-provided); no changes without physical/email from registered contact.
- Treasury transfers: Pre-approved templates; inter-company/depot transfers tracked with purpose code; daily treasury position report to CFO.

4. Petty Cash & Imprest System

- Imprest max KES 50,000 per location (depot/plant/chilling station); replenishment only on submission of approved vouchers + receipts.
- Custodian: Designated person (not AP processor); monthly surprise count by Finance nominee.
- Vouchers: Sequential, original receipts mandatory; >KES 5,000 dual approval.
- **Anti-fraud**: No cash advances for personal use; monthly reconciliation + CFO review; cap on frequency per custodian.

5. Payroll & Related Payments

- **Biometric + facial recognition** attendance at all sites (integrated ERP/HRIS); ghost employee prevention.
- Payroll processing: Independent from HR; monthly validation against attendance + contracts.
- Payments: Direct bank only; no cash/M-Pesa for salaries.

- Advances/loans: Pre-approved by HR + CFO; deducted systematically.
- **Anti-fraud:** Annual payroll audit; flag unusual hires/terminations at remote sites.

6. Bank Reconciliations & Monitoring

- **Monthly bank reconciliations** by Finance staff **not involved in payments** (segregation); reviewed/approved by CFO within 10 days.
- Daily treasury dashboard: Opening/closing balances, transactions, exceptions.
- Positive pay (if cheques used): Submit payee list to bank; mismatches rejected.
- **Anti-fraud:** Monthly vendor payment analysis (top 20 vendors, unusual spikes); trend monitoring (e.g., sudden increase in transport payments).

7. Audits, Reviews & Red Flag Monitoring

- Quarterly AP/treasury audit by internal team (reporting to CFO); forensic annually.
- Red flags dashboard: Duplicate invoices, vendor concentration >30%, inactive vendors reactivated, payment to new banks without verification.
- Surprise payment audits: Random 10% of transactions monthly.
- Whistleblower hotline: Anonymous to CFO/Owner; rewards for proven cases (KES 100,000+).

8. Technology & Digital Controls

- ERP/AP module with audit trails, role-based access (no single user full cycle).
- Two-factor authentication for banking portals; transaction limits.
- Automated alerts: Large/unusual payments, vendor changes, unmatched invoices.

9. Training, Culture & Accountability

- Quarterly fraud awareness training (BEC examples, red flags); all finance/AP staff sign code annually.
- Bonuses tied to clean audits, zero fraud incidents.
- Mandatory leave policy: High-risk roles (AP processors) take 2 consecutive weeks annually (detect hidden fraud).

10. Escalation & Incident Response

- Any red flag: Immediate hold + CFO notification within 24 hours.
- Proven fraud: Police report, recovery proceedings, insurance claim.
- Post-incident review: Update SOPs within 30 days.

Report monthly: Payment variances, audit findings, fraud attempts thwarted.

No mercy for compromise. ABC's survival depends on ironclad financial gates.